

PLI 2.0 SCHEME For IT Hardware

The recently announced India's Production Linked Incentive (PLI) scheme 2.0 for IT hardware has been designed to propel domestic manufacturing capabilities. From hybrid company categories to increased incentives, here's a simplified version of the scheme highlighting the crucial elements

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The Union Cabinet recently sanctioned the Production Linked Incentive (PLI) scheme 2.0 for IT hardware with a budgetary outlay of ₹170 billion. Devised by the Ministry of Electronics & IT (MeitY), with the aim to push domestic manufacturing capability, the tenure of this scheme will be six years.

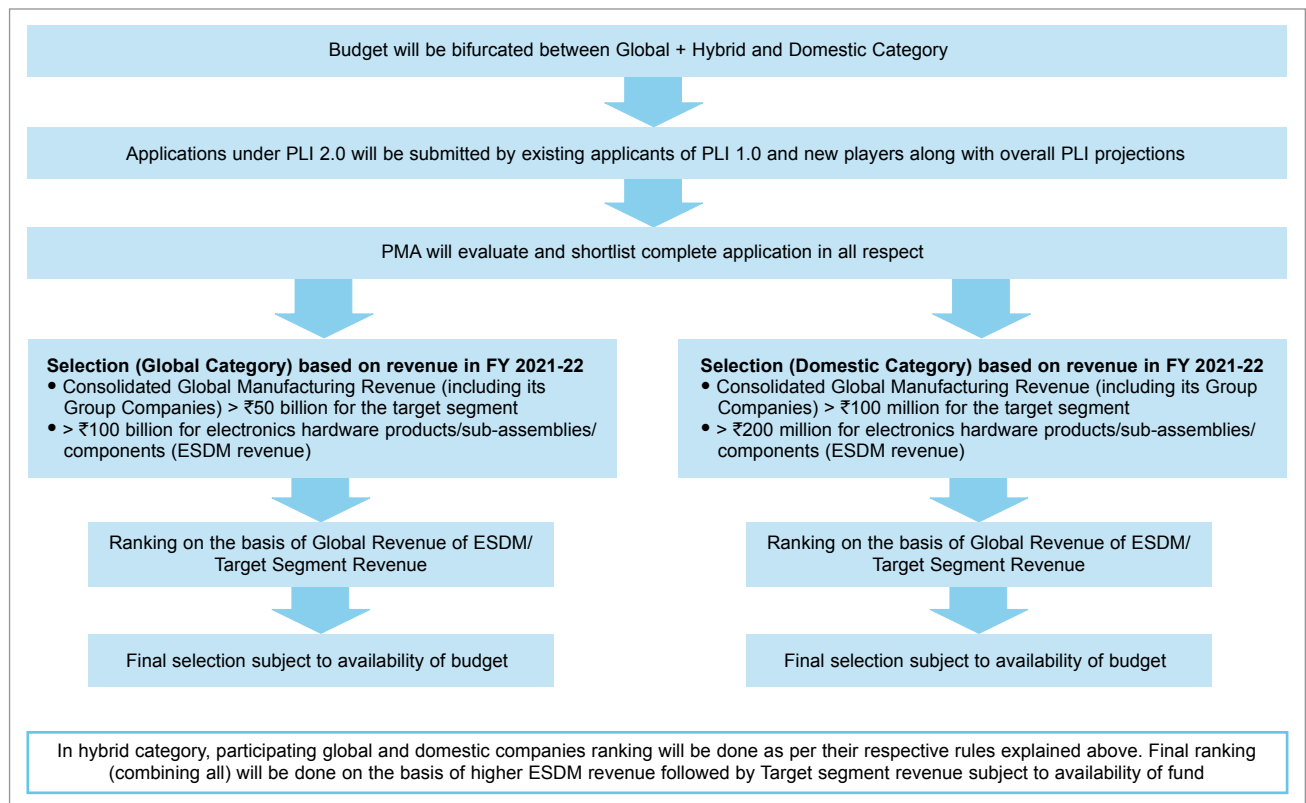
This time, a new category, called hybrid company, has been introduced. It allows two companies (one global and one domestic) to participate.

The hybrid category provides flexibility for companies to position themselves based on their incremental sales and investment targets. For instance, a global company planning to invest enough to avail incentives as high as

₹45 billion can opt for the global category. But if they face difficulties in meeting the investment target, they can choose different arrangements as per their convenience.

Some other highlights of the scheme are:

- A 45-day window is provided for the selection of beneficiaries under PLI 2.0.
- The government expects the average incentive to rise to around 5%, up from the existing 2.2% (with PLI 1.0).
- Applicants will receive an extra optional bonus of 3% if they use components, sub-systems, or inputs that are manufactured and designed in India.
- While the scheme is set to be implemented from July 1, 2023, applicants may



Application process for PLI 2.0 (Credit: ICEA, MeitY)